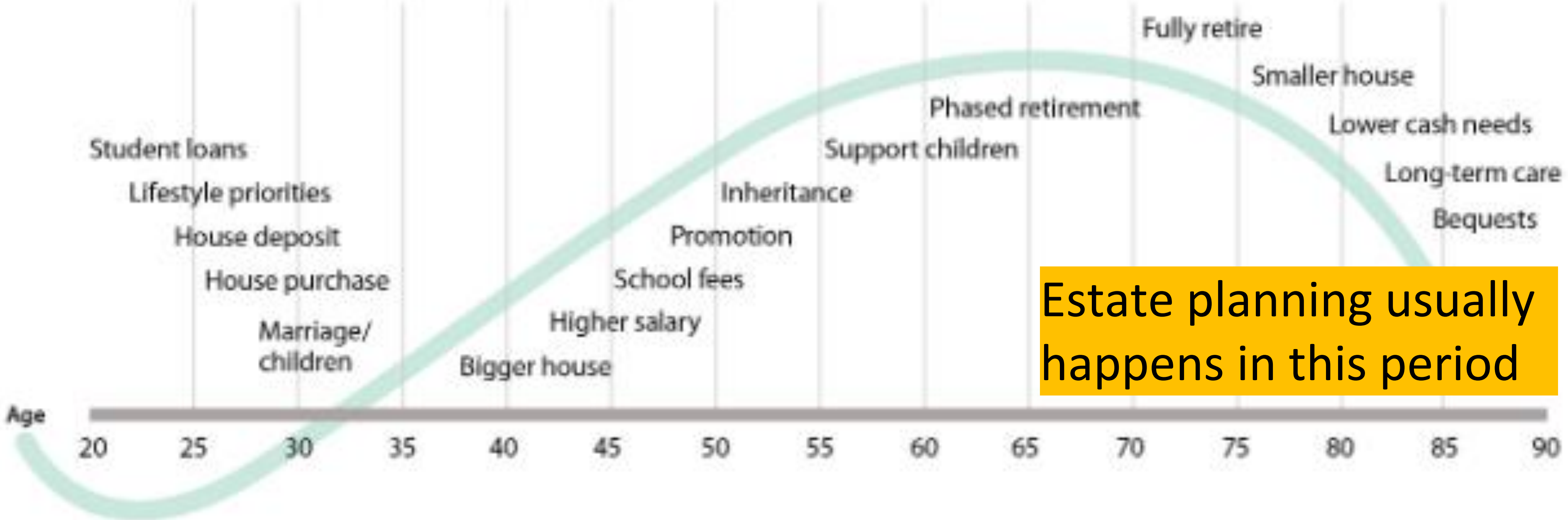
Estate Planning

Estate planning definition & timing

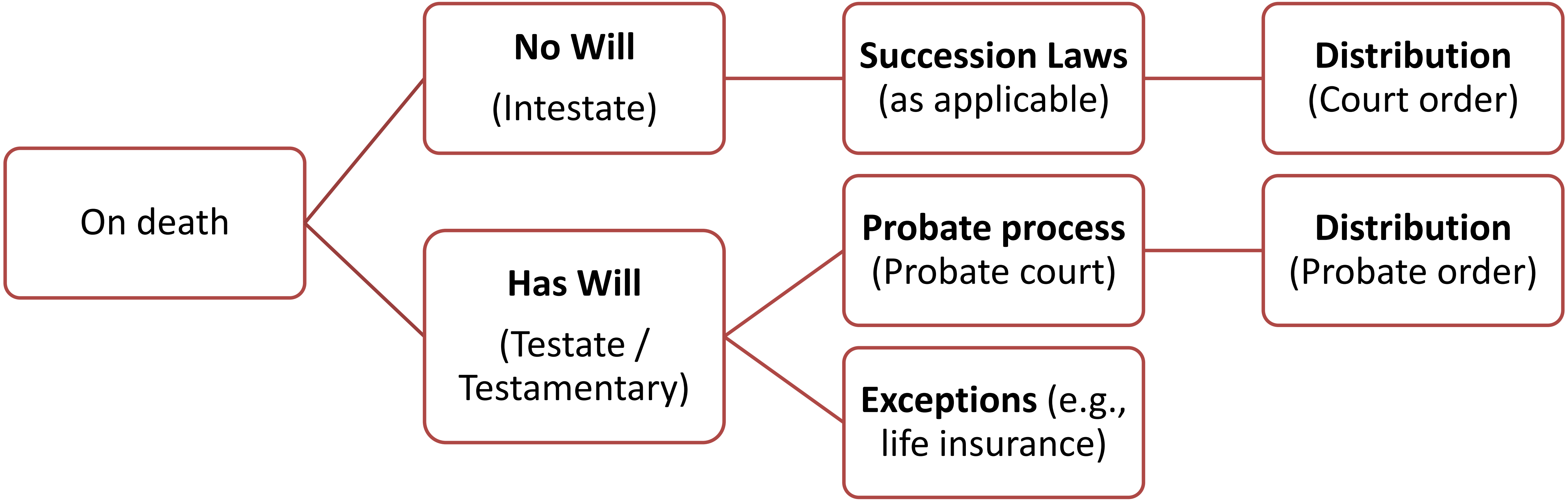
Process of developing strategies → for **management** and **distribution** of wealth → **leading up to and after death**

When is planning done



Estate planning usually happens in this period

How estates are distributed



Key terms in Estate planning

Intestate	Testate	Testator (or Testatrix)	Legatee / Beneficiary	Probate
• Dying without a Will	• Dying with a Will	• Male (or Female) adult who makes a Will	• A person inheriting under a Will	• Legal process relating to administering a Will

Estate	Wills, Trusts, Gifts etc	Will	Succession Laws	Executor
• Property of a person	• Tools to transfer estate to others	• Last wishes of a person, signed and attested by 2 witnesses	• Laws that govern estate distribution	• Person who is appointed in a Will to administer it

Steps in Estate Planning

1. Establish Estate: what is available with the client (**Estate**)
2. Identify goals, e.g., who should receive (**Inheritance & Interest**)
3. Understand succession Laws (Indian & international)
4. Select distribution vehicles (Will, Gifts, Trust etc)
5. Appoint fiduciary / legal representatives (**Legal aspects**)

1. Establish size of Estate

Estate definition

proschool
An IMS Initiative

- All rights, titles and interests of a person less any outstanding liabilities
- Also called Property.
- Property can be of three types as below

Real estate / immovables	Personal property	Community property
• Own home(s) • Land • Shops and other owned establishments	• **Tangibles** like vehicles jewellery, art, electronics, books etc. • **Intangible** like securities, mutual funds, insurance, copyrights, trademarks, Royalty incomes	• Special category where rights or titles of assets / liabilities are shared with spouse (or similar)

Immovable Property: ownership types

- Four broad ownership patterns can exist for real estate
- Specific rules relating to distribution are subject to Local laws

Individual	Joint tenants	Tenants in common	Community property
• Also called fee simple (or freehold) • Single owner • Transfer via will, else via mandate (i.e., court order)	• Owned in equal shares • On death of one owner, that owner's share will pass to the other owner	• Owned in unequal shares • Each owner can independently distribute their own share in any fashion they want	• Also called marital property • Allowed in some countries • All property acquired after marriage is held in a matrimonial trust

Intangible: Bank Accounts

- **Solely owned bank account** can be accessed by valid nominee basis documentation
- A **joint bank account** is allowed in India and permits survivor to continue account

Comparative Table of modes of Operation

Joint Accounts				
Sr.	Nature	Number of Holders	Operation	Beneficiary(ies) on Death
1.	Either or Survivor	Two	Both	Survivor
2.	Anyone or Survivor	More than Two	All	Survivors
3.	Former or Survivor	Two	First Holder	Second holder
4.	Latter or Survivor	Two	Second Holder	First Holder
6.	Jointly Held Account	Two or more	All together	Survivor(s)
7.	Jointly or Survivor	Two or more	All together	Survivor(s)
8.	Minor Account	Two or more	Adult(s) or Guardian(s)	Survivor(s)

Intangibles: Mutual Funds

- Mutual fund units may be also held jointly, (up to 3 holders) and operated as
  - either or survivor,
  - any or survivor,
  - jointly

- All mutual Funds require a nomination for each unitholder.
  - A nominee will be entitled to the units only on the death of the holder, or if there are more than one, then on the death of all holders.
  - If there are no joint holders, and no nominees, transmission would be in favour of legal heir(s).

- Notwithstanding holding pattern / nominees, a unit holder is entitled to bequeath mutual fund units by will (subject to the applicable law of succession).

- '*Transmission*' is the process of units being transferred to the surviving (joint) unit holders, subject to documents needed by the asset management company or AMC

Intangible: Securities

- For physical shares, transmission to the other joint holder, or if single, to the nominee or as advised by succession certificate / probate /court decree etc

- For dematerialized share, transmission requires the surviving joint holder(s), nominee(s) or legal heir(s) to approach the Depository Participant (DP)

- When no nominee + intestate + sole holder,
  - if the value of such shares per listed company does not exceed INR 200,000,
  - a simple no-objection certificate is required from all legal heirs in favor of the claimant to such shares,
  - Or a family settlement executed and notarized by all legal heirs of the deceased, each of which must be submitted together with an indemnity bond.

Life Insurance

- Life Insurance is payable on death.
- Payment is made to the nominee.
  - Insurance Act, 1938 requires that a policyholder may nominate a person or persons to receive the money from the policy on death.
    - *A nominee can be made (or changed) by the policyholder anytime during the validity of a policy. Minors require guardians to be nominated.*

- *Legal heirs can contest payment to a nominee if it is not in accordance with the applicable law of succession (Supreme Court order)*

- *The Insurance (Amendment) Act, 2015, introduced the concept of beneficial nominee, i.e., the person who ultimately benefits or owns the insurance money.*

2. Identify goals

Primary purpose of Estate plan

1. Fulfil last wishes

- Can be **difficult to identify** as each person's situation is unique
- Goals involve
  - a philosophical aspect (e.g., what is your legacy, meaning of your life)
  - a technical aspect (e.g., are heirs minors / elderly, do they need protection)

2. In the most efficient manner

- Requires tax planning and other aspects to ensure **efficient** estate management

Strategic aspects of Estate planning

proschool
An IMS Initiative

Estate planning will additionally need to solve one of more of the following concerns

1. Lack of liquidity : To meet last rites and other settlement costs
2. Improper disposition of assets : Prevent assets from going to the wrong people, at the wrong time, or in the wrong manner
3. Inadequate income or capital : Insufficient for ongoing retirement expenses, client's disability or incapacity, and family living expenses after the individual's death
4. Asset values destabilized / not maximized : Keep business valuations as high as possible and assets distributed in ways that do not reduce their value
5. Excessive taxes and transfer/distribution costs : keep expenses / taxes to minimum
6. Special needs : Provide ongoing care for a spouse who is not financially capable, children or parents who are not able to care for themselves (e.g., mental or physical disability), and support for exceptionally gifted children

Common client goals (i.e. last wishes)

proschool
An IMS Initiative

A. Provide for loved ones	B. Providing for children / grandchildren	C. Philanthropy	D: Small business continuity
• Most common goal • Includes spouse or life partners, adult children etc	• Focusses on minors who are currently not equipped to handle finances • Important for HNI's	• Covers charity or gifts to NGO's, institutes, servants, care givers etc	• Covers how client's own business will transition to new owners

A. Providing for significant other

- **Applies to**: Married couples, adult with life partner (other than spouse)
- **Goal**: Ensure loved ones are provided on death or incapacity
  - Passing of assets
  - immediate liquidity to ensure lifestyle is maintained, including support for dependents
- **Requirement**:
  - Need for liquid assets that can be immediately accessed
  - Need to set aside a larger amount for spouse
- **Liquid assets:**
  - Life insurance (bypasses Probate)
  - Trusts (where allowed by law)
- **Key consideration**
  - Legal rights of life-partner (other than spouse) may not exist or can be contested by legal heirs in some countries

Common recipients (significant other)

Spouse

Is a recipient, by law

Wills cannot be used to disinherit the spouse

Unmarried partner

May not have same legal rights as spouse. In such cases, Will may be contested by legal heirs

Live-in relationship

May not have any legal rights. Hence, joint holding of assets or a Trust is a good solution

Ex-spouse

Usually, ex-spouses have no legal right to inheritance.

B. Children / Grandchildren

- **Applies to**: Any estate owner with children / grandchildren
- **Goal**: Ensure
  - Dependent children are taken care of till they reach adulthood
  - Provide assets to them when they reach adulthood
- **Requirement**:
  - Provide funds for basic food, clothing and living expenses
  - Identifying a caregiver to oversee and guide the minors till they reach adulthood
  - Identifying administrators to oversee asset distribution (e.g. for education etc)
- **Elements:**
  - Childcare needs to be discussed as a family so identifying who would take up this role (of legal guardian) is best done early, even as soon as children are born
  - Trust administrators need to be setup to oversee the estate and ensure assets are available when needed

Common recipients (children, grandchildren)

Children

Common recipient, irrespective of parent's relationship with biological mother

Lifetime gift & testament transfer or both usually used

Grandchildren

Treated same as children usually

Skip person / Direct skip

Gift skips one generation, e.g., direct to grandchild

Exceptionally gifted

Likely to have special needs, relating to their gift (e.g., music, art, sports)

In addition to money, experts from their field are sometimes appointed as guardians

C: Organizations and philanthropy

- **Applies to**: HNI's or others who want to give back
- **Goal**: Arises from desire to **leave a legacy / make a difference / stand for something**
  - Provide charity to organization(s) of choice
- **Requirement**:
  - Applies once loved ones and children are taken care of
- **Execution:**
  - Local laws relating to taxation of gifts / donations and types of charities / NGO's apply
  - Some territories allow for both testamentary or inter vivos charitable gifts to be fully or partially tax-free, while others do not.
  - Even where there is no taxation, the amount that can pass tax-free may be limited.

D. Small business owners

- **Applies to**: Any estate owner who owns a small business
- **Goal**: Reduce anxiety relating to small business on death via
  - Keeping the business running after death
  - Generating income to support the family after death
- **Requirement**:
  - Distribute ownership in such a way that goals are achieved
- **Aspects to consider**

How to keep business running / Generate income?

Keep within family ?

Exit / Sell ?

Succession plan

When

Transition / how

Whom, when, value

High Net Worth Individuals: Strategies

- HNWI most likely will want to ensure that taxes are minimized, probate is avoided, and inheritance rights for their chosen heirs are protected. When estate taxes apply, estates of HNWI are almost certain to be impacted with a higher than average tax burden
- In addition, many HNWI individuals would prefer to keep their information, especially their net worth, private. Probate makes a lot of information available to the public. Net worth and assets distributed to heirs is among the possible public information.
- Hence HNI's may look to transfer assets via gifts prior to Death.
- **Risk of unscrupulous individuals**: They can pose as creditors, present high-return, high-security investment plans, and otherwise try to get heirs to give them as much of their inheritance as possible.
- To protect, They may use Trusts or alternatively use foreign (e.g., offshore) corporations to hold assets, or domestic corporate (or other) entities that provide a degree of security and privacy. One of the reasons this can work is that the heirs don't actually own the assets—The corporation (or other entity) does.

Contingency planning: Incapacity

proschool
An IMS Initiative

- Estate plans need to consider that the estate owner may become incapacitated
- When an individual suffers from an incapacity, he or she has a disability—physical or mental—that impedes the ability to think and act as desired. Incapacity also can make a person legally ineligible to handle their own affairs.

Mild cognitive impairment	Severe impairment
• Does not affect daily routine • Symptoms include occasional forgetfulness, disorientation, loss of focus, impulsiveness etc • Can progress to dementia	• Can no longer function independently • Needs special care (24-hour home-care, else a care facility)

Addressing possibility of incapacity

- Part of planning for incapacity is ensuring a person's will is updated, valid, and accurately expresses distribution intent along with specific directives, e.g.,
  - **Advance (care) directive**. A broad category of documents identifying the individual's desires for ongoing treatment when incapacitated.
  - **Durable (enduring) power of attorney (health care proxy)**. authorizes a trusted individual to make health care decisions on the persons behalf, based on previously stated desires.
  - **Health care/medical power of attorney**. A medical POA grants specific authority for a representative to take control over health care decisions.
  - **Springing power of attorney (conditional)**. A conditional power that *springs into effect only in the event* when the principal becomes incapacitated.
  - **Living will**. Provides direction to physicians regarding the level and degree of care
  - **Revocable living trust**. can provide a way to oversee legal and financial matters related to a person's assets. However, this will only be true if a successor trustee is named.

Disclaiming Inheritance

- There are times when an heir/beneficiary does not want to accept an inheritance and can ***disclaim* or renounce the inheritance.**

- Disclaiming an inheritance is a **formal (and legal) rejection of the property.**

- There may be many reasons, two of which are
  - **Extreme inconvenience** : Perhaps the heir already has enough assets and does not wish to increase his or her personal fortune. This is most likely to occur in cross-border situations, but also may be relevant within a territory.
  - **Associated debt** : When a person inherits an asset, often they also inherit any debt associated with that asset. Sometimes the debt can be quite large; large enough that the positive value of the asset is overshadowed by the debt. As a result, the beneficiary may decide not to accept the asset and thereby avoid inheriting the debt.